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DETECTION OF FINANCIAL REPORTING QUALITY ISSUES: INTRODUCTION AND PRESENTATION CHOICES

Learning Outcome

- describe presentation choices, including non-GAAP measures, that could be used to influence an analyst's opinion

Choices in the application of accounting standards abound, which is perhaps one reason why accounting literature and texts are so voluminous. Compounding the complexity, measurement often depends on estimates of economic phenomena. Two estimates might be justifiable, but they may have significantly different effects on the company's financial statements. As discussed earlier, the choice of a particular estimate may depend on the motivations of the reporting company's managers. With many choices available, and the inherent flexibility of estimates in the accounting process, managers have many tools for managing and meeting analysts' expectations through financial reporting.

An understanding of the choices that companies make in financial reporting is fundamental to evaluating the overall quality—both financial reporting and earnings quality—of the reports produced. Choices exist both in how information is presented (financial reporting quality) and in how financial results are calculated (earnings quality). Choices in presentation (financial reporting quality) may be transparent to investors. Choices in the calculation of financial results (earnings quality), however, are more difficult to discern because they can be deeply embedded in the construction of reported financial results.

The availability of accounting choices enables managers to affect the reporting of financial results. Some choices increase performance and financial position in the reporting period (aggressive choices), and others increase them in later periods (conservative choices). A manager who wants to increase performance and financial position in the reporting period could:

- recognize revenue prematurely;
- use non-recurring transactions to increase profits;
- defer expenses to later periods;
- measure and report assets at higher values; and/or
- measure and report liabilities at lower values.
- A manager who wants to increase performance and financial position in a later period could:
- defer current income to a later period (save income for a "rainy day"); and/or
- recognize future expenses in a current period, setting the table for improving future performance.

This lesson describes some of the potential choices for how information is presented and how accounting elements [assets, liabilities, owners' equity, revenue and gains (income), and expenses and losses] are recognized, measured, and reported. In addition to choices within GAAP, companies may prepare fraudulent reports. For example, these reports may include non-existent revenue or assets. Later lessons discuss warning signs that may indicate poor-quality financial reports.

Presentation Choices

The technology boom of the 1990s and the internet bubble of the early 2000s featured companies, popular with investors, that often shared the same characteristic: They could

valuation approaches no longer applied to such companies. Strange new metrics for determining operating performance emerged. Website operators spoke of the "eyeballs" they had captured in a quarter, or the "stickiness" of their websites for web surfers' visits. Various versions of "pro forma earnings"—that is, "non-GAAP earnings measures"—became a financial reporting staple of the era.

Many technology companies were accomplished practitioners of pro forma reporting, but they were not the first to use it. In the early 1990s, downsizing of large companies was a commonplace event, and massive restructuring charges obscured the operating performance at many established companies. For example, as it learned to cope in a world that embraced the personal computer rather than mainframe computing, International Business Machines (IBM) reported massive restructuring charges in 1991, 1992, and 1993: USD3.7 billion, USD11.6 billion, and USD8.9 billion, respectively. IBM was not alone. Sears incurred USD2.7 billion of restructuring charges in 1993, and AT&T reported restructuring charges of USD7.7 billion in 1995. These events were not isolated; restructuring charges were a standard quarterly reporting event. To counter perceptions that their operations were floundering, and supposedly to assist investors in evaluating operating performance, companies often sanitized earnings releases by excluding restructuring charges in pro forma measures of financial performance.

Accounting principles for reporting business combinations also played a role in boosting the popularity of pro forma earnings. Before 2001, acquisitions of one company by another often resulted in goodwill amortization charges that made subsequent earnings reports look weak. Complicating matters, there were two accounting methods for recording acquisitions: pooling-of-interests and purchase methods. The now-extinct pooling-of-interests treatment was difficult for companies to achieve because of the many restrictive criteria for its use, but it was greatly desired because it did not result in goodwill amortization charges. In the technology boom period, acquisitions were common and many were reported as purchases, with consequential goodwill amortization dragging down earnings for as long as 40 years under the then-existing rules. Acquisitive companies reporting under purchase accounting standards perceived themselves to be at a reporting disadvantage compared with companies able to apply pooling-of-interests. They responded by presenting earnings adjusted for the exclusion of amortization of intangible assets and goodwill.

Because investors try to make intercompany comparisons on a consistent basis, earnings before interest, taxes, depreciation, and amortization (EBITDA) has become an extremely popular performance measure. EBITDA is widely viewed as eliminating noisy reporting signals. That noise may be introduced by different accounting methods among companies for depreciation, amortization of intangible assets, and restructuring charges. Companies may construct and report their own version of EBITDA, sometimes referring to it as "adjusted EBITDA," by adding to the list of items to exclude from net income. Items that analysts might encounter include the following:

- rental payments for operating leases, resulting in EBITDAR (earnings before interest, taxes, depreciation, amortization, and rentals);
- equity-based compensation, usually justified on the grounds that it is a non-cash expense;
- acquisition-related charges;
- impairment charges for goodwill or other intangible assets;
- impairment charges for long-lived assets;
- litigation costs; and
- loss/gain on debt extinguishments.

Among other incentives for the spread of non-GAAP earnings measures are loan covenants. Lenders may make demands on a borrowing company that require achieving and maintaining performance criteria that use GAAP net income as a starting point but

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analysis in the United States).

As mentioned earlier, if a company uses a non-GAAP financial measure in an SEC filing, it must display the most directly comparable GAAP measure with equal prominence and provide a reconciliation between the two. Management must explain why it believes that the non-GAAP financial measure provides useful information regarding the company's financial condition and operations. Management must also disclose additional purposes, if material, for which it uses the non-GAAP financial measures.

Similarly, IFRS requires a definition and explanation of any non-IFRS measures included in financial reports, including why the measure is potentially relevant to users. Management must provide reconciliations of non-IFRS measures with IFRS measures. The concern is that management may use non-GAAP measures to distract attention from GAAP measures.

The SEC intended that the definition of non-GAAP financial measures would capture all measures with the effect of depicting either:

- a measure of performance that differs from that presented in the financial statements, such as income or loss before taxes or net income or loss, as calculated in accordance with GAAP; or
- a measure of liquidity that differs from cash flow or cash flow from operations computed in accordance with GAAP.[19]

The SEC prohibits the exclusion of charges or liabilities requiring cash settlement from any non-GAAP liquidity measures, other than EBIT and EBITDA. Also prohibited is the calculation of a non-GAAP performance measure intended to eliminate or smooth items tagged as non-recurring, infrequent, or unusual when such items are very likely to occur again. The SEC views the period within two years of either before or after the reporting date as the relevant time frame for considering whether a charge or gain is a recurring item. Example 5 describes a case of misuse and misreporting of non-GAAP measures.

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EXAMPLE 5

Misuse and Misreporting of Non-GAAP Measures

Groupon is an online discount merchant. In the company's initial S-1 registration statement in 2011, then-CEO Andrew Mason gave prospective investors an upfront warning in a section entitled "We don't measure ourselves in conventional ways", which described Groupon's adjusted consolidated segment operating income (adjusted CSOI) measure. Exhibit 12 provides excerpts from a section entitled "Non-GAAP Financial Measures," which offered a more detailed explanation. Exhibit 13, also from the initial registration statement, shows a reconciliation of CSOI to the most comparable US GAAP measure. In its review, the SEC took the position that online marketing expenses were a recurring cost of business. Groupon responded that the marketing costs were similar to acquisition costs, not recurring costs, and that "we'll ramp down marketing just as fast as we ramped it up, reducing the customer acquisition part of our marketing expenses" as time passes.[20]

Eventually, and after much negative publicity, Groupon changed its non-GAAP measure. Exhibit 14 shows an excerpt from the final prospectus filed in November, after the SEC's review. Use the three exhibits to answer the questions that follow.

Exhibit 12: Groupon's "Non-GAAP Financial Measures"

Disclosures from June S-1 Filing

the cost to acquire new subscribers and is dictated by the amount of growth we wish to pursue. Acquisition-related costs are non-recurring non-cash items related to certain of our acquisitions. Stock-based compensation expense is a non-cash item. We consider Adjusted CSOI to be an important measure of the performance of our business as it excludes expenses that are non-cash or otherwise not indicative of future operating expenses. We believe it is important to view Adjusted CSOI as a complement to our entire consolidated statements of operations.

Our use of Adjusted CSOI has limitations as an analytical tool, and you should not consider this measure in isolation or as a substitute for analysis of our results as reported under GAAP. Some of these limitations are:

- Adjusted CSOI does not reflect the significant cash investments that we currently are making to acquire new subscribers;
- Adjusted CSOI does not reflect the potentially dilutive impact of issuing equity-based compensation to our management team and employees or in connection with acquisitions;
- Adjusted CSOI does not reflect any interest expense or the cash requirements necessary to service interest or principal payments on any indebtedness that we may incur;
- Adjusted CSOI does not reflect any foreign exchange gains and losses;
- Adjusted CSOI does not reflect any tax payments that we might make, which would represent a reduction in cash available to us;
- Adjusted CSOI does not reflect changes in, or cash requirements for, our working capital needs; and
- Other companies, including companies in our industry, may calculate Adjusted CSOI differently or may use other financial measures to evaluate their profitability, which reduces the usefulness of it as a comparative measure.

Because of these limitations, Adjusted CSOI should not be considered as a measure of discretionary cash available to us to invest in the growth of our business. When evaluating our performance, you should consider Adjusted CSOI alongside other financial performance measures, including various cash flow metrics, net loss and our other GAAP results.

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Exhibit 13: Groupon's Adjusted CSOI

Excerpt from June S-1 Filing

The following is a reconciliation of CSOI to the most comparable US GAAP measure, "loss from operations," for the years ended December 31, 2008, 2009, and 2010 and the three months ended March 31, 2010 and 2011:

	Year Ended 31 December			Three Months Ended 31 March	
(in USD thousands)	**2008**	**2009**	**2010**	**2010**	**2011**
(Loss) Income from operations	(1,632)	(1,077)	(420,344)	8,571	(117,148)
Adjustments:					
Online marketing	162	4,446	241,546	3,904	179,903
Stock-based compensation	24	115	36,168	116	18,864

Acquisition- related	—	—	203,183	—	—
Total adjustments	186	4,561	480,897	4,020	198,767
Adjusted CSOI	(1,446)	3,484	60,553	12,591	81,619

Exhibit 14: Groupon's CSOI

Excerpt from Revised S-1 Filing

The following is a reconciliation of CSOI to the most comparable US GAAP measure, "loss from operations," for the years ended December 31, 2008, 2009, and 2010 and the nine months ended September 30, 2010 and 2011:

	Year Ended 31 December			Nine Months Ended 30 September	
(in USD thousands)	**2008**	**2009**	**2010**	**2010**	**2011**
Loss from operations	(1,632)	(1,077)	(420,344)	(84,215)	(218,414)
Adjustments:					
Stock-based compensation	24	115	36,168	8,739	60,922
Acquisition- related	—	—	203,183	37,844	(4,793)
Total adjustments	24	115	239,351	46,583	56,129
CSOI	(1,608)	(962)	(180,993)	(37,632)	(162,285)

1. What cautions did Groupon include along with its description of the adjusted CSOI metric?

   Show Solution

2. Groupon excludes "online marketing" from adjusted CSOI. How does the exclusion of this expense compare with the SEC's limits on non-GAAP performance measures?

   Show Solution

3. In the first quarter of 2011, what was the effect of excluding online marketing expenses on the calculation of adjusted CSOI?

   Show Solution

4. For 2010, how did results under the revised non-GAAP metric compare with the originally reported metric?

   Show Solution

In Example 5, Groupon changed its reporting and corrected the non-GAAP metric that the SEC had identified as misleading. In other cases, the SEC has pursued enforcement actions against companies for reporting misleading non-GAAP information. One such action was brought in 2009 against SafeNet Inc., in which the SEC charged the company with improperly classifying ordinary operating expenses as non-recurring. This related to the integration of an acquired company and exclusion of the expenses from non-GAAP earnings to exceed earnings targets. A second action was brought by the SEC in 2017 against MDC Partners Inc. (MDCA) for improper reconciliation of a non-GAAP measure and for improperly displaying the non-GAAP measure with greater prominence in its earnings releases. The case was brought after the company agreed to follow the rules but then failed to do so, as evidenced by the remark in the SEC's action: "Despite agreeing to comply with non-GAAP financial measure disclosure rules in December 2012 correspondence with the [SEC's] Division of Corporation Finance, MDCA continued to

Exhibit 15: Excerpt from MDC Partners Inc. Press Release

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This excerpt shows the headline, subheads, and lead sentence of the company's press release announcing periodic earnings.

SEC Form 8-K filed 24 April 2014

MDC PARTNERS INC. REPORTS RECORD RESULTS FOR THE THREE MONTHS ENDED MARCH 31, 2014

ORGANIC REVENUE GROWTH OF 8.3%, EBITDA GROWTH OF 18.1% AND 90 BASIS POINTS OF MARGIN IMPROVEMENT

FREE CASH FLOW GROWTH OF 34.0%

INCREASED 2014 GUIDANCE IMPLIES YEAR-OVER-YEAR EBITDA GROWTH OF +13.5% TO +16.1%, MARGIN IMPROVEMENT OF 60 TO 70 BASIS POINTS, AND FREE CASH FLOW GROWTH OF +15.8% TO +20.2%

FIRST QUARTER HIGHLIGHTS

- Revenue increased to $292.6 million from $265.6 million, an increase of 10.1%
- Organic revenue increased 8.3%
- EBITDA increased to $36.4 million from $30.8 million, an increase of 18.1%
- EBITDA margin increased 90 basis points to 12.5% from 11.6%
- Free Cash Flow increased to $20.6 million from $15.4 million, an increase of 34.0%
- Net New Business wins totaled $24.4 million

NEW YORK, NY (April 24, 2014) *– MDC Partners Inc. (NASDAQ: MDCA; TSX: MDZ.A) today announced financial results for the three months ended March 31, 2014.*

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In general, management may choose to construct non-GAAP financial measures not only to help investors better understand the company's performance but also to paint a more flattering picture of its performance. In some cases, management may attempt to present non-GAAP measures in a way that diverts attention from the standards-compliant financial information that it is required to present.

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